

NTPC LIMITED

4-YEAR COMPREHENSIVE CREDIT & FINANCIAL PROFILE

Fiscal Years 2022-23 to 2025-26

Prepared For:	Credit Risk & Evaluation Committee
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Analysis Horizon:	4 Years (FY 2022-23 to FY 2025-26)
Ratings Covered:	CRISIL, ICRA, CARE, India Ratings, S&P;, Fitch, Moody's
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Executive Summary: This credit profile presents a detailed analysis of the financial and operational performance of NTPC Limited over a four-year period (FY23 through FY26). As India's largest power utility, with a group installed capacity of **89,108 MW** as of March 31, 2026, NTPC continues to enjoy the highest credit standing domestically (AAA) and sovereign-equivalent ratings internationally. This report systematically compiles domestic and international credit ratings, stand-alone profitability, liquidity and debt service coverage ratios, working capital dynamics, capital structure evolution, and financial risk profiles.

1. CREDIT RATING PROFILE

NTPC continues to maintain exceptional credit fundamentals, enabling access to low-cost capital both in domestic and international markets. The company holds the highest possible credit ratings for its domestic instruments, while its international long-term ratings remain at par with the sovereign rating of the Government of India. The credit ratings have remained stable and unrevised across the 4-year horizon, with notable ratings agency upgrades in outlooks and Standalone Credit Profiles (SCP).

Domestic Credit Ratings (Consistently Stable Across FY23 - FY26)

Instrument Type	CRISIL	ICRA	CARE	India Ratings
Long Term Loans	CRISIL AAA/Stable	[ICRA] AAA (Stable)	CARE AAA; Stable	IND AAA/Stable
Domestic Bonds	CRISIL AAA/Stable	[ICRA] AAA (Stable)	CARE AAA; Stable	IND AAA/Stable
Commercial Papers	CRISIL A1+	ICRA A1+	CARE A1+	IND A1+
Bank Guarantees	CRISIL A1+	ICRA A1+	CARE A1+	IND AAA/Stable/A1+
Letter of Credit	CRISIL A1+	ICRA A1+	CARE A1+	IND AAA/Stable/A1+
Cash Credit / STWCL / WCDL / Bill Discounting	CRISIL AAA/Stable / A1+	ICRA AAA/Stable	CARE AAA; Stable	IND AAA/Stable / A1+

International Credit Ratings & Outlook Evolution

Agency / Parameter	FY 2022-23	FY 2023-24	FY 2024-25	FY 2025-26
S&P; Corporate Credit	BBB- / Stable	BBB- / Stable	BBB- / Positive	BBB / Stable
Moody's Corporate Credit	Baa3 / Stable	Baa3 / Stable	Baa3 / Stable	Baa3 / Stable
Fitch Corporate Credit	BBB- / Stable	BBB- / Stable	BBB- / Stable	BBB- / Stable
Fitch Standalone Profile (SCP)	bbb-	bbb-	bbb (Upgraded)	bbb
S&P; Rating Upgrade Event	Unrevised	Unrevised	Outlook to Positive	Rating Upgraded to 'BBB'

Key Credit Upgrade Event: During the FY 2025-26, **S&P; Global Ratings** upgraded NTPC's long-term corporate credit rating from '**BBB-**' to '**BBB**' and revised the outlook from '**Positive**' to '**Stable**'. Additionally, in FY 2024-25, **Fitch Ratings** raised NTPC's Standalone Credit Profile (SCP) to '**bbb**' from '**bbb-**', reflecting robust standalone financial strength, disciplined capital expenditure, and market-leading operational efficiency.

2. FINANCIAL RATIOS & PERFORMANCE

NTPC demonstrates superior financial health, characterized by growing profitability margins, strengthening debt coverage, and defensive leverage levels. Over the four-year horizon, standalone and group profitability have improved significantly, driven by strong capacity additions and favorable CERC tariff regulatory amendments.

NTPC Standalone Key Financial Ratios (FY23 - FY26)

Key Ratio Name	Formula / Components	FY23	FY24	FY25	FY26	Var. % (YoY)
Current Ratio	Current Assets / Current Liabilities	0.91	0.92	0.96	0.94	-2.08%
Debt-Equity Ratio	Total Debt / Total Equity	1.34	1.24	1.15	1.09	-5.22%
Debt Service Coverage (DSCR)	Profit + Fin. Costs + Depr / Debt Service	1.29	1.56	1.67*	1.68	+0.60%
Return on Equity (ROE)	Net Profit / Average Shareholder Equity	12.85%	12.52%	12.61%	13.77%	+9.13%
Return on Capital (ROCE)	EBIT / Capital Employed	9.39%	9.07%	9.60%	9.71%	+1.07%
Net Profit Margin (%)	Profit for Year / Revenue from Operations	10.50%	11.16%	11.56%	14.00%	+21.11%
Interest Coverage Ratio	EBIT / Finance Costs	3.19	3.33	4.14	4.75	+14.73%
Inventory Turnover	Revenue from Ops / Average Inventory	14.01	10.43	9.66	9.48	-1.86%
Debtors Turnover	Revenue from Ops / Average Debtors	6.31	5.69	5.94	5.56	-6.40%
Trade Payables Turnover	Total Purchases / Closing Payables	9.53	11.92	12.09	12.28	+1.57%
Net Capital Turnover	Revenue from Ops / Working Capital	15.07	9.87	10.75	9.83	-6.82%

*Note: DSCR for FY25 was initially reported as 1.37 in the FY25 Annual Report but was reclassified to 1.67 in the FY26 Annual Report to adjust for CERC tariff amendments and reclassifications.

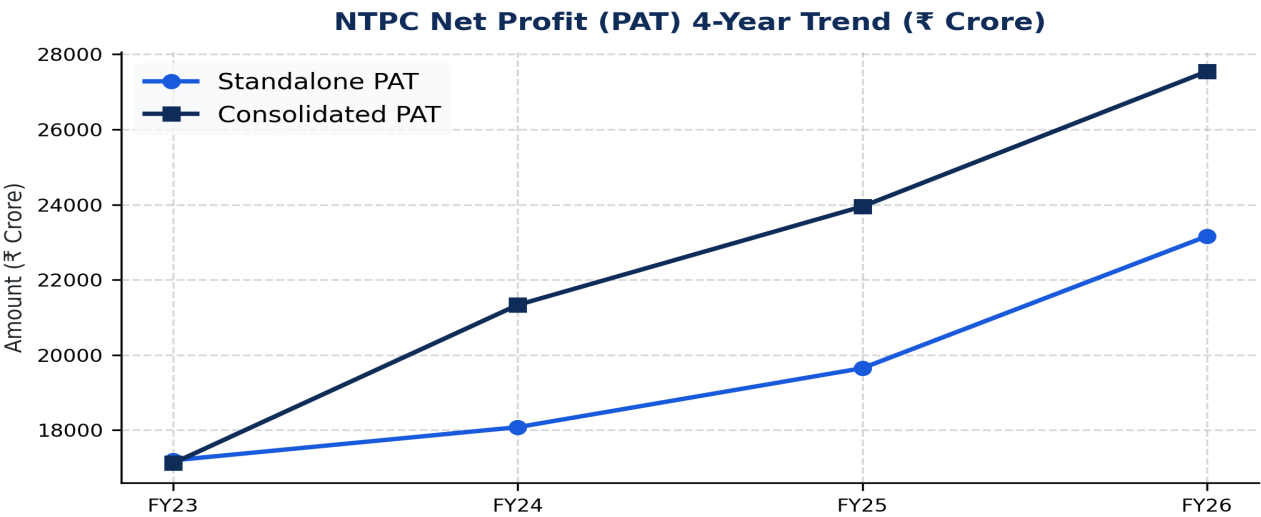
Ratio Highlights:

- **Current Ratio Below Unity:** NTPC's current ratio has consistently hovered below 1.0 (between 0.91 and 0.96). This is standard for regulated utilities, where predictable regulated cash collections (backed by TPAs) permit low cash buffers and efficient working capital lines.
- **Debt-Equity Optimization:** The debt-to-equity ratio has steadily declined from **1.34 in FY23 to 1.09 in FY26**, demonstrating capital structure strengthening through higher internal accruals, IPO premium of NGEL, and prudent leverage management.
- **Coverage Metrics:** Debt Service Coverage strengthened to **1.68** and Interest Coverage reached an impressive **4.75**, driven by robust operating profitability and successful loan refinancing at lower rates.

3. PERFORMANCE TRENDS & CHARTS

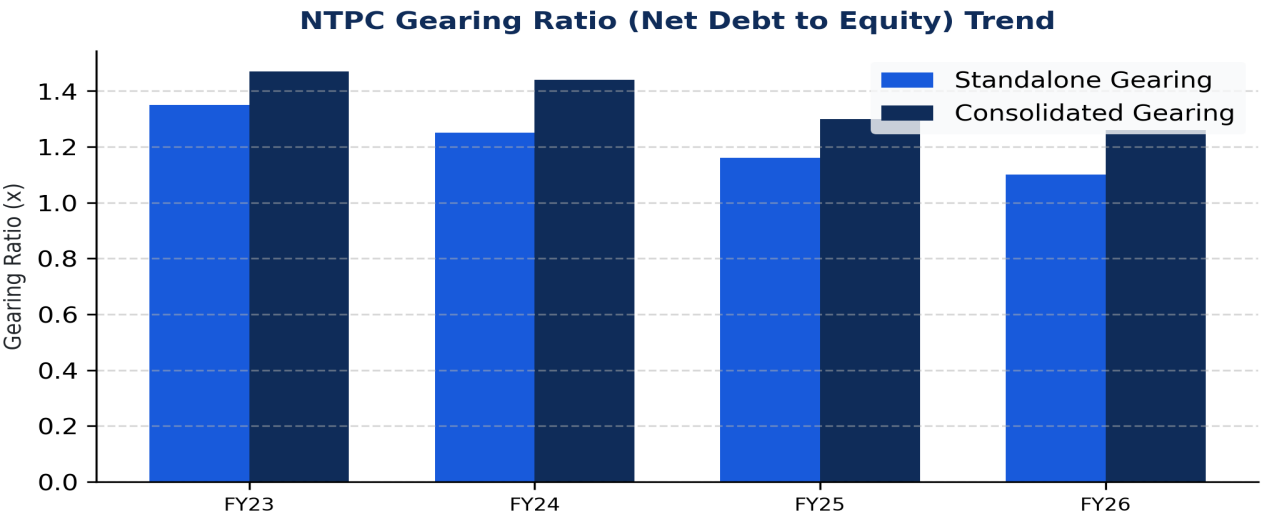
Profit After Tax (PAT) Growth

Both standalone and consolidated PAT have registered stellar compound growth. Standalone profit reached **₹23,162 crore in FY26** (up 18% YoY), while group consolidated profit hit **₹27,546 crore** (up 15% YoY).



Capital Structure De-leveraging (Gearing)

Prudent debt management is evident in the declining gearing ratio (Net Debt to Equity) domestically and consolidated. Standalone gearing dropped from **1.35x to 1.10x**, and group gearing fell from **1.47x to 1.26x** over the same period.



4. CAPITAL STRUCTURE & GEARING DETAILS

NTPC manages its capital structure defensively. Long-term project financing is highly structured, aligning debt amortization with asset useful lifecycles as determined by CERC. The debt-to-equity ratio for ongoing project-specific funding structures is as follows:

- **Conventional & Heavy Capex (Thermal, Hydro & Captive Coal Mining):** Maintained at a conservative **70:30 debt-to-equity** ratio.
- **Renewable Energy Programs (Solar, Wind & Green Hydrogen):** Maintained at a more leveraged **80:20 debt-to-equity** ratio to optimize equity returns on clean energy projects.

Standalone Net Debt & Equity Breakdown (■ Crore)

Capital Component	As at 31-Mar-23	As at 31-Mar-24	As at 31-Mar-25	As at 31-Mar-26
Total Borrowings (incl. Interest Accrued)	1,87,484.59	1,87,604.85	1,87,342.84	1,92,468.30
Less: Cash & Cash Equivalents	3.13	197.16	2.15	672.50
Net Debt (A)	1,87,481.46	1,87,407.69	1,87,340.69	1,91,795.80
Total Equity (B)	1,38,889.88	1,49,885.02	1,61,640.55	1,74,865.25
Net Debt to Equity Gearing (A/B)	1.35x	1.25x	1.16x	1.10x

Consolidated Group Net Debt & Equity Breakdown (■ Crore)

Capital Component	As at 31-Mar-23	As at 31-Mar-24	As at 31-Mar-25	As at 31-Mar-26
Total Group Borrowings (incl. Interest Accrued)	2,22,642.78	2,37,831.18	2,50,200.03	2,70,210.51
Less: Cash & Cash Equivalents	465.65	863.34	1,426.56	3,421.63
Group Net Debt (A)	2,22,177.13	2,36,967.84	2,48,773.47	2,66,788.88
Total Group Equity (B)	1,50,953.62	1,65,122.28	1,91,122.68	2,11,153.06
Group Net Debt to Equity Gearing (A/B)	1.47x	1.44x	1.30x	1.26x

Capital Structure Insights: NTPC's consolidated net worth increased by **40%** over 4 years (from ■150,953 crore in FY23 to ■211,153 crore in FY26), primarily due to strong retained earnings reinvestment and a massive security premium generated from the successful **Initial Public Offering (IPO)** of **NTPC Green Energy Limited (NGEL)** in November 2024. Consequently, consolidated gearing dropped significantly from **1.47x to 1.26x**.

5. LIQUIDITY, WORKING CAPITAL & RISKS

Working Capital Dynamics & TReDS Liquidity Support

NTPC utilizes cutting-edge banking mechanisms and digital payment portals to optimize working capital and provide liquidity support to its extensive supply chain. To facilitate timely payments and access to low-cost financing for Micro and Small Enterprises (MSEs), NTPC has boarded all major operational **Trade Receivables Discounting System (TReDS)** platforms (including RXIL, M1xchange, and Invoicemart). Platforms and boarding dates are as follows:

Company / Subsidiary	TReDS Onboarding Platform	Boarding Date	Liquidity Impact on MSE Vendors
NTPC Limited	RXIL / Invoicemart / M1x	20-Feb-2020	Immediate discounting at competitive interest rates
NTPC Mining Ltd (NML)	RXIL / Invoicemart / M1x	20-Jan-2025	Supports captive coal mining supply chains
NTPC Green Energy (NGEL)	RXIL / Invoicemart / M1x	14-Nov-2025	Facilitates solar/wind EPC contractor payments
THDC India Limited	RXIL / Invoicemart / M1x	16-Oct-2024	Accelerates hydro project vendor payments
NEEPCO Limited	RXIL / Invoicemart / M1x	19-Dec-2024	Strengthens Northeast power project cash flows
BRBCL / PVUNL	RXIL / Invoicemart / M1x	2022-2025	Promotes MSE vendor cash flow cycle consistency

Credit Risk Identification & Mitigation Framework

NTPC operates on a rigorous, proactive risk management framework designed to insulate the group's credit profile from macroeconomic and sector-specific hazards:

Key Identified Risk	Strategic Impact on Credit Profile	NTPC Proactive Mitigation Action
Financial Health of DISCOMs	Delays in bill realizations, leading to working capital pressure and elevated debtor levels.	Letters of Credit (LCs) backed by the binding Tri-Partite Agreement (TPA) among State Govts, GoI, and the RBI. Permits direct recovery from State accounts at RBI on payments defaults.
Interest Rate Risk	Fluctuations in interest rates affecting finance costs on floating-rate debt portfolios.	Proactive refinancing of high-cost loans, debt portfolio diversification (Mix of fixed/floating bonds and domestic bank term loans), lowering weighted borrow costs from 6.61% to 5.98% .
Foreign Exchange Risk	Currency volatility impact on unhedged foreign currency debt (such as KfW, JPY, EUR loans).	Strict adherence to Exchange Risk Management Policy. Entering into forward contracts, options, and natural hedging via pass-through tariff structures allowed under CERC regulations.
Project Execution Risk	Capex cost overruns and delays in commercializing large supercritical or solar stations.	Centralized procurement frameworks, milestone-based EPC contract tracking, and using highly vetted, globally recognized technology partners.

Commercial Realisation Track Record: Reflecting NTPC's robust payment security mechanism, the company achieved **100% realisation of bills** billed to customers across all four years, realizing over **■1.54 lakh crore** in FY23, and consistently achieving 100% collections through FY24, FY25, and FY26. TPAs are currently active with 29 out of 31 States/UTs, providing a solid credit safety net.